Deal Structuring Playbook

How capital stack design turns average deals into great ones

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Why Structure Matters More Than Price

Most buyers chase better deals. Few learn to structure them better. But structure is what decides who gets paid, when they get paid, and how much risk they carry. An average deal with the right capital stack beats a great deal with the wrong one. Every time.

On the same $2.5M property, the IRR swings from 14% to 32% based on structure alone. Equity needed drops from $825K to $400K. Cash yield on Day 1 jumps from 4% to 10%. The building is the same. The rents are the same. The only thing that changed is how the money is stacked.

The Capital Stack: Four Layers

Layer	Position	Typical Cost	Risk	Your Fund Use
Senior Debt	First lien. Paid first.	5.1-6.5%	Lowest	Fannie Small Loan, 75-80% LTV
Seller Carry	Second lien. Paid after bank.	4-6%	Medium	Gap fill; 10-20% of price
Preferred Equity	Inside the LLC. Priority payout.	8-12%	Higher	LP capital with 8% pref return
Common Equity	Last in, first loss.	Target 15%+	Highest	GP co-invest (5-10%)

The key insight: each layer has a different cost. Senior debt at 5.5% is cheap. Equity expects 15%+. The more cheap debt you use (safely), the higher your equity returns. But too much debt kills you when vacancy spikes. The art is in the balance.

Seven Structures, One Property

Same building. 30 units, Midwest. Purchase $2.5M. NOI $175K (7% cap). Stabilized NOI $215K by Year 3. Exit at Year 5 for ~$2.97M.

Structure	Equity Needed	Year 1 Cash Yield	5-Year IRR	Equity Multiple	DSCR
1. Bank only (75% LTV)	$825,000	4.0%	~14%	1.72x	1.23x
2. Bank + seller carry	$575,000	4.1%	~18%	1.93x	1.16x
3. Assumed 3.5% loan	$600,000	8.6%	~22%	2.35x	1.42x
4. Master lease option	$250,000	2.8%	~22%	2.20x	N/A
5. With LP waterfall	$825,000	4.0%	24% (GP)	2.35x (GP)	1.23x
6. Distressed seller	$400,000	10.3%	~32%	3.27x	1.31x
7. +AI ops edge (on #1)	$825,000	5.7%	~18%	2.01x	1.33x

Structure 6 (distressed seller) returns 3.27x on equity. Structure 1 returns 1.72x. Same building. Same tenants. Same rents. The gap is 100% structure.

Structure 2: Bank + Seller Carry (Detail)

The seller takes a second mortgage for 15% of the price at 5% interest-only. This cuts your equity from $825K to $575K. The seller earns 5% on a secured note. Better than a savings account. And under IRC 453, the seller defers capital gains tax by spreading payments over time. Win-win.

Source	Amount	Rate	Terms
Bank first mortgage	$1,750,000	6.5%	30-yr amortizing, 75% LTV
Seller carry (second)	$375,000	5.0%	Interest-only, 5-yr balloon
GP/LP equity	$575,000	Target 15%+	8% pref return to LPs

Structure 3: Assuming a 3.5% Fannie Loan

Fannie Mae multifamily loans are assumable. The buyer takes over the seller's existing loan at the original rate. In 2026, that means you can inherit a 3.5% fixed rate when new loans cost 5.5%+. The 200 bps savings = $34,000/year on a $1.8M balance. Over 5 years, that's $170K in extra cash flow from one structural move.

How it works: apply to the existing servicer. Pay a 1% fee ($18K). Pass net worth and liquidity checks. Close in 45-90 days. Sellers cooperate because their alternative is paying a six-figure prepayment penalty.

Metric	New Loan at 6.5%	Assumed Loan at 3.5%	Difference
Annual debt service	$142,224	$108,156	-$34,068/yr
Year 1 cash flow	$32,776	$51,844	+$19,068
Year 1 cash yield	4.0%	8.6%	+4.6 pts
5-year IRR	~14%	~22%	+8 pts
DSCR	1.23x	1.42x	+0.19x

Structure 6: Distressed Seller (Detail)

$875B in CRE loans mature in 2026. Owners who locked at 3-4% now face 6-7%+. The loan can't refinance. The building still works. We buy at 12% below market because the seller's option B is foreclosure. Then we add seller carry at 4% because the seller would rather earn 4% on a note than lose everything.

Source	Amount	Rate	Notes
Bank first	$1,500,000	6.5%	New origination at market
Seller carry	$500,000	4.0%	IO, 5-yr. Seller avoids foreclosure.
GP/LP equity	$400,000		$300K discount = built-in equity
Purchase price	$2,200,000		12% below $2.5M market value

Result: 10.3% cash yield from Day 1. 3.27x equity multiple. ~32% IRR. The $300K discount flows straight to equity returns. Add our 20% AI cost reduction and this pushes past 35%.

The LP/GP Waterfall: How Everyone Gets Paid

The waterfall is the contract that governs who gets paid, in what order, from every dollar of cash flow and sale proceeds. It lives in the Operating Agreement.

Payment order (top to bottom):

Priority	What	Who Gets It	When
1. Debt service	Bank + seller loan payments	Lenders	Monthly (mandatory)
2. Preferred return	8% annual on invested capital	All equity (LP + GP)	Quarterly
3. Return of capital	Original investment back	All equity (LP + GP)	At sale
4. Profit split (Tier 1)	70% equity / 30% promote	LP 70% / GP 30%	At sale
5. Profit split (Tier 2)	50% equity / 50% promote	LP 50% / GP 50%	Above 15% IRR

Worked example: $825K equity, 90/10 LP/GP split

Step	Amount	To LP (90%)	To GP (10%)
Preferred return (8% x 5yr)	$330,000	$297,000	$33,000
Return of capital	$825,000	$742,500	$82,500
Profit split (70/30)	$260,880	$182,616	$78,264
TOTAL	$1,415,880	$1,222,116	$193,764
Equity multiple		1.65x	2.35x
Est. IRR		~13%	~24%

The GP put in 10% of the equity but got 13.7% of the total payout. That extra 3.7% is the promote. It's the GP's reward for finding the deal, building the structure, running the building, and selling it well.

GP Fee Stack (in addition to promote)

Fee	Amount	When	Type
Acquisition fee	2% of price ($50K)	At closing	One-time
Asset management	1.5% of revenue (~$12K/yr)	Monthly	Recurring
Construction mgmt	5-10% of reno budget	During reno	One-time
Disposition fee	1% of sale price ($30K)	At sale	One-time

How to Negotiate Seller Financing

Target: owners who held 10+ years, tired landlords, estate sales, 90+ days on market. The pitch: offer at or near asking price. Take the terms. Price is the seller's ego. Terms are your profit.

Term	Typical Range	Your Target	Why
Interest rate	4-7%	4-5%	Below bank rate = positive spread
Amortization	20-30 years	25-30 years	Lower monthly payment
Balloon	3-7 years	5-7 years	Time to stabilize and refi
Down payment	10-25%	10-15%	Minimum equity in the deal
Interest-only period	0-24 months	12-24 months	Cash flow during reno

Structure by Thesis

Thesis 1: Invisible Supply Wall (Midwest)

Target: aging owners with free-and-clear buildings. Common in Midwest markets where families held for decades. Pitch 100% seller financing in first position. 5-6% rate, 25-yr am, 7-yr balloon, 15-20% down. The seller earns more than bonds, defers taxes, and exits management. You skip the bank entirely.

Thesis 2: Broken Capital Stack (Distressed)

Target: owners with maturing bridge loans at 8%+. Their DSCR is below 1.0x. Foreclosure is 90 days away. Buy at 10-15% discount. Seller carries 15-25% at 3-5% because getting 4% beats losing everything. Or assume their old Fannie loan at 3.5% and pay cash for their equity at a discount. Speed wins here. AI screening lets us find and close these deals before others even see them.

Thesis 3: Hidden Cost Moat (Low OpEx)

Target: stable cash flow properties in low-tax, low-insurance states. Use standard Fannie Small Loan (75-80% LTV, 5.1-5.5%). The strong NOI from low costs means the 8% pref is covered from Day 1. After 18 months of AI ops, NOI is up 15-20%. Refinance at the new value. Return LP capital early. Reset the IRR clock. Hold for long-term cash flow.

The Document Stack

Document	What It Does	Cost	Required?
PPM (Private Placement Memo)	SEC disclosure: thesis, risks, fees, projections	$10-25K	Yes (Reg D)
Operating Agreement	Governs waterfall, GP authority, LP rights, fees	Included w/ PPM	Yes
Subscription Agreement	LP signs to commit capital + accreditation	Included w/ PPM	Yes
Purchase & Sale Agreement	Deal terms, contingencies, closing conditions	Broker/attorney	Per deal
Promissory Note + Deed of Trust	Seller financing docs; creates secured lien	$1-3K	If seller carry
Assumption Documents	Transfer existing mortgage to new borrower	1% of loan bal	If assuming

Risk: What Can Go Wrong

Risk	What Happens	How Bad	Mitigation
Vacancy spike to 20%	DSCR drops below 1.0x; bank freezes payouts	Severe	6-12 mo reserves; stress test every deal
Due-on-sale triggered	Lender calls the loan; must refi or sell	Severe	Only on sub-to; use formal assumption instead
Seller defaults (MLO)	Lender forecloses; you lose your investment	Total loss	Record option; require proof of payment
Rate risk on refi	Balloon comes due at higher rates	Medium	Lock long-term when possible; plan refi early
Personal guarantee	GP liable for full loan in default	Existential	Use Fannie non-recourse; limit guarantees
Over-leverage across fund	Multiple deals fail in a downturn	Fund-killing	Max 75% avg LTV; 6 mo reserves fund-wide

The 2025-2026 Window

$875B	CRE loans mature in 2026	**3.0-3.5%**	Assumable Fannie rates still on books
10.8%	CMBS multifamily distress rate	**$30B+**	Seller-financed deals in 2024

The loan assumption window is finite. 3.0-3.5% fixed Fannie debt is a once-in-a-generation edge. It goes away as these loans mature over the next 3-7 years. Distressed sellers who can't refi are the most open to carrying paper at good terms. The fund that moves fastest on structure captures the spread others leave on the table.